

FORM TP 2005247



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MAY/JUNE 2005

**CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION**

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

2½ hours

06 JUNE 2005 (p.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from EACH section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. (a) The rational decision-making process can be summarized into five steps. Identify those steps. [5 marks]
- (b) Ms Butcher owns a computer store located in Bishop City, Flamingo Island. The store is four years old. Sales increased over the first two years but sharp decreases have been experienced over the last two years. The stock turnover has declined from 5 times in the first year to 0.95 times in the last year. For several months in the last year her overdraft has exceeded the \$10,000 limit and the bank manager has indicated that she must bring the overdraft down to the allowable limit in three months.

Explain how Ms Butcher may use the rational decision-making process outlined in (a) above, to solve the problem being faced by the store. [20 marks]

Total 25 marks

2. Ms Smart is planning to start an auto parts business. Ms Wise has advised her that she should first establish the business objectives.
- (a) Outline THREE objectives that Ms Smart's Auto Business should aim to achieve. [10 marks]
- (b) Discuss THREE reasons why it is necessary for companies to establish and periodically review their objectives. [15 marks]

Total 25 marks

SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. (a) Explain briefly TWO reasons why subordinates in an organisation might resist change. [4 marks]
- (b) Discuss FIVE approaches that managers can use to increase the likelihood that workers will co-operate with a proposed change. [21 marks]
- Total 25 marks**
4. (a) (i) Identify FOUR factors which can influence effective teamwork. [4 marks]
- (ii) Explain how EACH of the factors identified in (a) (i) above may affect effective teamwork. [12 marks]
- (b) Evaluate THREE benefits of using a team approach. [9 marks]

Total 25 marks

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SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. Following is the condensed Balance Sheet of Carib Entertainment, a sole proprietorship, for the year ending 30 June 2002:

Fixed Assets		18,000
Stock	6,400	
Debtors	3,800	
Bank	1,680	11,880
		<u>29,880</u>
Capital		20,000
Net Profit		4,500
		<u>24,500</u>
Drawings		1,220
		<u>23,280</u>
Loans		2,000
Creditors		4,600
		<u>29,880</u>

Sales for the year amounted to \$50,000 and cost of sales \$32,000. Compute the following ratios and explain what EACH ONE indicates about the performance of the company between 2002 and the previous year. The ratios for the previous year (2001) are shown in brackets.

N.B. Average capital is used to compute the Return on Capital Employed ratio.

- (a) Net Profit Margin (12.5%)
- (b) Mark Up (60%)
- (c) Current Ratio (2.1)
- (d) Acid Test Ratio (0.98 : 1)
- (e) Return on Capital Employed (18%)

[25 marks]

Total 25 marks

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6. A company is considering investing in one of three projects, A, B or C. The initial cost and net cash inflows from EACH project are shown below. The company has the option of borrowing the amount to cover the cost of either project at 9% interest per annum.

Cash Flow	Project A	Project B	Project C
(Initial Cost)	43,500	42,000	40,000
1	8,400	10,100	9,640
2	8,820	10,605	10,122
3	9,702	11,666	11,134
4	10,187	12,249	11,691
5	11,715	14,086	13,445

Discount factors at 9% per annum:

Year	Factor	Year	Factor
1	0.917	4	0.708
2	0.842	5	0.650
3	0.772		

- (a) Compute the Net Present Value of EACH project. [18 marks]
- (b) On the basis of the Net Present Value criterion, in which project should the company invest? Give ONE reason for your answer. [3 marks]
- (c) Outline ONE advantage and ONE disadvantage of the Net Present Value criterion compared to the Payback Period. [4 marks]

Total 25 marks

END OF TEST